

Chapter 4

Evaluating Assets and Liabilities

Assessing a company's assets and liabilities is fundamental to understanding its financial health and risk profile. In this chapter, we will explore key ratios and metrics that aid in the evaluation of a company's asset management, debt structure, and overall financial efficiency.

4.1 Current and Quick Ratios

4.1.1 Current Ratio

The current ratio is a liquidity ratio that measures a company's ability to meet its short-term obligations with its short-term assets. It is calculated by dividing current assets by current liabilities. A current ratio above 1 indicates that a company has more current assets than current liabilities, suggesting it can cover its short-term debts. However, an excessively high current ratio may indicate inefficient use of resources.

4.1.2 Quick Ratio

The quick ratio, also known as the acid-test ratio, is a more stringent measure of liquidity. It excludes inventory from current assets since inventory may not be easily convertible to cash. The quick ratio is calculated by dividing quick assets (current assets minus inventory) by current liabilities. A quick ratio above 1 suggests that a company can meet its short-term obligations without relying on the sale of inventory.

4.2 Debt-to-Equity Ratio

The debt-to-equity ratio assesses a company's financial leverage and risk by comparing its total debt to shareholders' equity. It is calculated by dividing total debt by shareholders' equity. A higher debt-to-equity ratio indicates higher financial risk and leverage, as the company is relying more on borrowed funds. Conversely, a lower ratio suggests a more conservative